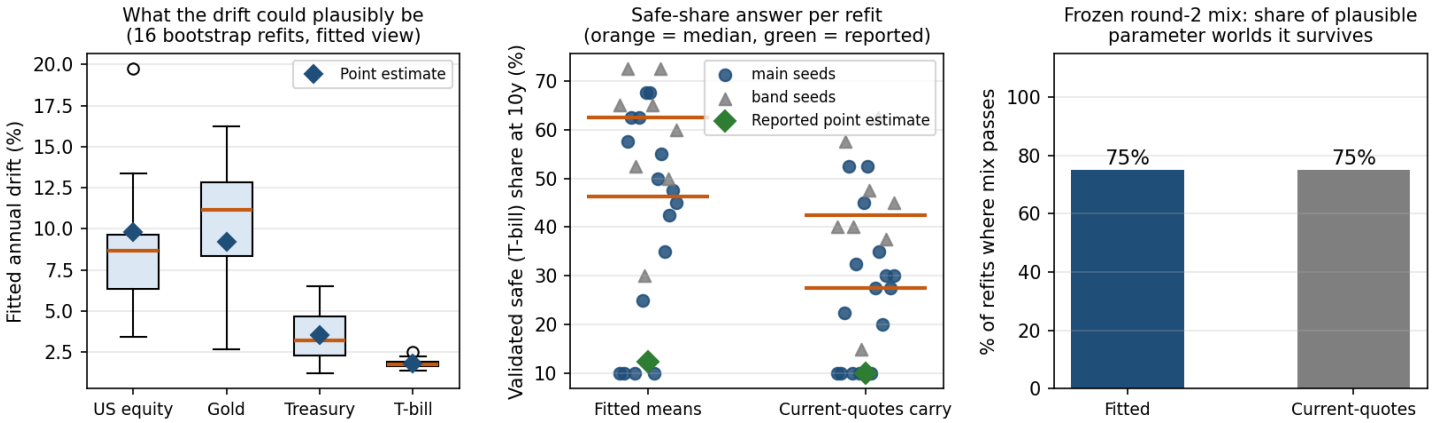
Estimation uncertainty: the answer is a range

Private research, not investment advice. Labeled sensitivity; no engine defaults change. 8 Nov 2026.

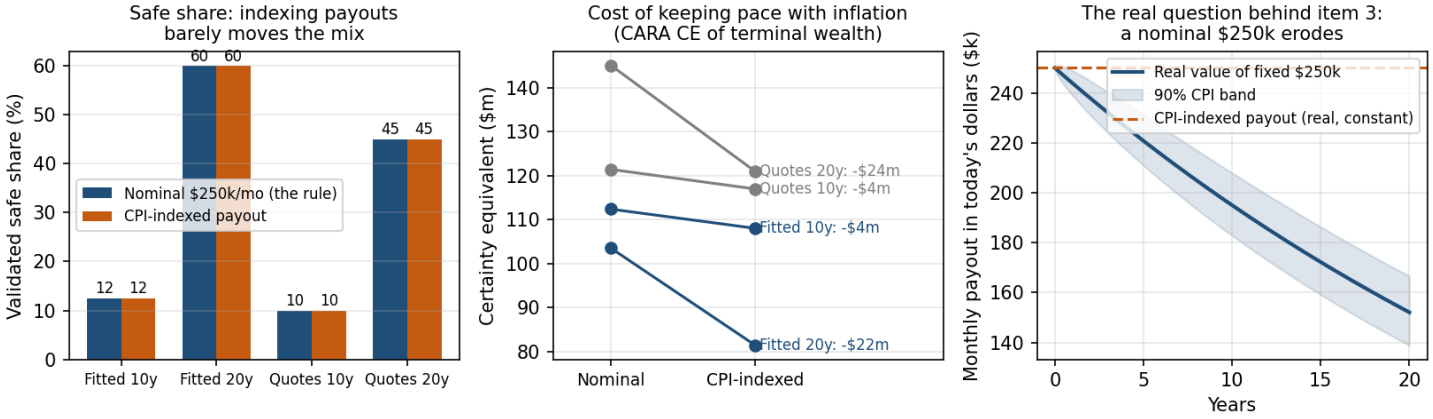


Item 1 - estimation uncertainty (bootstrap refits of drift and volatility, 26-week circular blocks, full 10-year dual-law safe-share search per refit, matched RNG streams).

The reported 12.5% safe share (fitted view) is at the OPTIMISTIC EDGE of the plausible range: across 16 refits the validated safe share runs 10%-67.5% (median 46%); current-quotes 10%-52.5% (median 28%). Fitted US-equity drift ranges 3.4%-19.8%/yr around the 9.8% point estimate; vol is tighter (15.5%-20.8% around 18%). The frozen round-2 mix (32.5% safe) survives the final judge in 12/16 refits under both views. Same order as the known seed noise (12.5% vs 52.5% across draw families): the point estimate should never be quoted without its band.

Inflation-linked payouts: CE pays, mix holds

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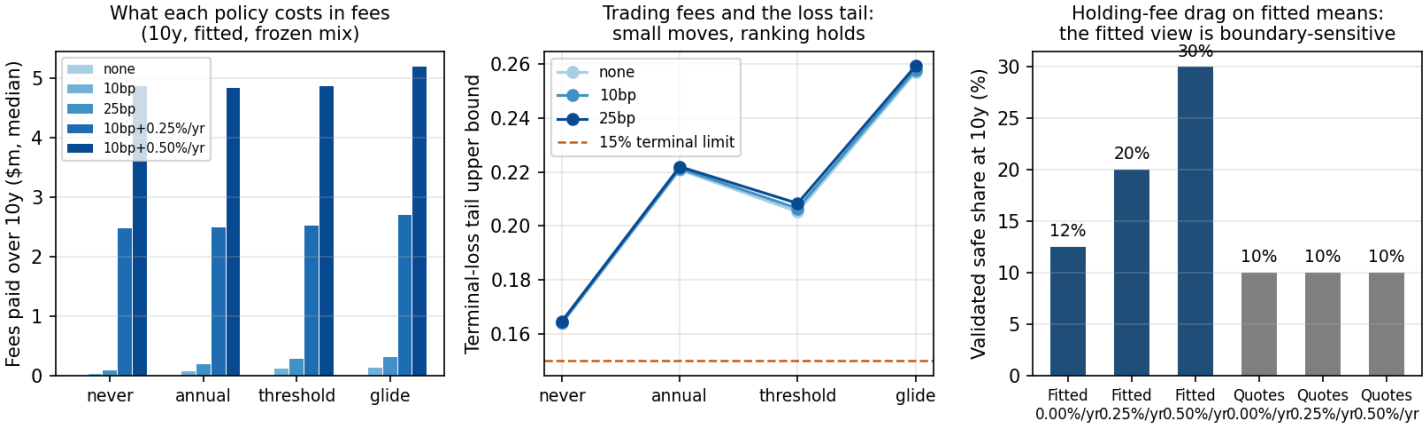


Item 3 - inflation-linked payouts (BLS CPI-U 1996-2025: mean 2.52%/yr; iid monthly model, declared).
The nominal $250k/month stays the rule; this shows what an inflation-growing payout changes.

Safe share barely moves (10y: 12.5% -> 12.5% fitted, 10% -> 10% quotes; 20y: 60% -> 60%, 45% -> 45%).
Certainty equivalent carries the cost: -$4.4m at 10y, -$24m at 20y (quotes view) - inflation risk
is paid in expected wealth, not a safer mix (-$22m at 20y fitted). Real value of the fixed $250k
falls to ~$195k/mo by year 10 and ~$152k by year 20 (expected). Splitting the Treasury sleeve 50/50 into TIPS
(exploratory) moved the 10y safe share from 12.5% to 15% - no free hedge under this model.

Fees: cheap to rebalance, touchy boundary

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Item 4 - fees, no tax (trading fees 10/25bp per trade; holding fees 0.25/0.50%/yr on listed sleeves; on top of the existing 5-20bp sell haircuts; frozen mixes, policies never/annual/threshold/glide).

Trading fees are second-order at these sizes: rebalancing the ~$60m liquid book annually costs a median ~$70k over 10y at 10bp, ~$180k at 25bp (medians; means are inflated by explosive paths). Holding fees matter more: 0.50%/yr on listed sleeves costs a median ~$5m over 10y and lifts the 10y terminal tail by ~4pp for every policy. Policy rankings are unchanged in every tier - fees give no reason to trade less often. Holding-fee drag on fitted means moves the 10y safe share (12.5% -> 20% at 0.25%/yr, -> 30% at 0.50%/yr, fitted view only; quotes view unmoved at 10%) so treat as 'fees tighten an already touchy boundary', not a precise shift.